

Value Creation Integration Office - Synergy Baseline Sign-Off

Formal attestation by Group Controlling that the financial baseline against which all synergies of the combination are measured is complete, consistent and locked as at Day 1, 7 September 2016.

Document	Synergy baseline sign-off and attestation
Programme	Dell Technologies Integration, Value Creation Integration Office (VCIO)
Parties	Dell Inc. and EMC Corporation
Baseline as at	Day 1, 7 September 2016
Currency and unit	USD million
Prepared by	M. Haddad, Value Realisation Controller
Reviewed by	R. Whitfield, Workstream Lead, Finance
Approved by	A. Vasquez, VCIO Programme Director
Sign-off date	2 September 2016
Classification	Strictly confidential
Version and status	v1.0, signed, baseline locked

1. Purpose and effect

Once signed, the figures in section 3 are the sole reference point for measuring synergy realisation. Any subsequent change requires a baseline change request approved by the Steering Committee and recorded in section 7.

2. Scope of the baseline

Entities included	The combined perimeter of Dell Inc. and EMC Corporation excluding the businesses listed below
Entities excluded	Majority-owned but separately listed subsidiaries are excluded from the cost baseline because their cost base is not controllable by the integration programme
Financial year covered	FY16 actual and FY17 budget
Accounting basis	US GAAP, target figures conformed to acquirer policy
Source systems	Statutory accounts of both groups, combined spend cube, combined FY17 operating plan, combined lease register
Cut-off date for source data	7 September 2016

3. Baseline figures

ID	Line item	Entity	Category	FY16 actual	FY17 budget	Source document
BL-01	External IT maintenance and software licences	EMC Corporation	IT cost	1,840	1,912	Target FY16 statutory accounts, note 14
BL-02	Data centre hosting and co-location	EMC Corporation	IT cost	742	768	Target FY16 statutory accounts, note 14
BL-03	Indirect procurement, addressable spend	Combined	Procurement	4,310	4,402	Combined spend cube, wave 1 extract
BL-04	Logistics and freight	Combined	Procurement	1,965	2,018	Combined spend cube, wave 1 extract
BL-05	Component sourcing, addressable bill of materials	Combined	Procurement	6,120	6,244	Combined spend cube, wave 1 extract
BL-06	Corporate and shared service personnel cost	Combined	Personnel	2,874	2,951	Combined FY17 operating plan
BL-07	Sales compensation, plan cost	Combined	Personnel	1,638	1,702	Combined FY17 operating plan
BL-08	Property lease and facilities cost	Combined	Footprint	884	903	Combined lease register, September 2016
BL-09	Warehouse and distribution operating cost	Combined	Operations	612	628	Combined FY17 operating plan
BL-10	Marketing and events	Combined	Operations	428	441	Combined FY17 operating plan

ID	Line item	Entity	Category	FY16 actual	FY17 budget	Source document
	Total addressable baseline			21,413	21,969	

4. Normalisation adjustments

Every adjustment to reported figures is listed. An adjustment not listed here has not been made.

ID	Description	Reason	Amount (USD m)	Affects	Approved by
N-01	Remove one-off transaction and advisory fees from the FY16 cost base	These costs do not recur and would overstate the addressable base	-186	BL-06	R. Whitfield
N-02	Conform target depreciation policy to acquirer policy	Comparability of the IT cost base	-42	BL-01, BL-02	R. Whitfield
N-03	Exclude spend already contracted at fixed price beyond FY18	Not addressable within the synergy horizon	-311	BL-03, BL-05	K. Matsuda
N-04	Reclassify contractor spend from personnel to indirect procurement	Consistent treatment across both groups	0	BL-03, BL-06	J. Adeyemi

5. Synergy target reconciliation

Item	Amount (USD m)	Basis
Deal model synergy target, run-rate	8,000	Investment committee paper, run-rate by the third full year
Cost synergy target in the register	1,942	11 initiatives
Revenue synergy target in the register	5,310	5 initiatives
Total in the register	7,252	Sum of both categories
Gap to the deal model	748	Initiatives not yet identified at the level of a named owner
Revenue to cost ratio in the register	2.7	Designed to the ratio management stated publicly at announcement

6. Limitations and open points

No.	Limitation	Impact on reliability	Resolution by
L-01	The pension obligation of the target is carried at the value in the last published accounts and has not been revalued	The personnel baseline may move once the actuarial review is complete	3 October 2016
L-02	The EMEA entity chain review is not complete, so the legal perimeter of the baseline is provisional in that region	Entity-level allocation of the cost base may shift	14 October 2016
L-03	Contracts of the top logistics providers have not all been reviewed for change of control clauses	Addressability of the freight baseline is assumed, not confirmed	14 October 2016

7. Baseline change log

To be completed only after sign-off, for approved baseline changes. No change has been approved to date.

Change ID	Date	Change made	Reason	Approved by	New value
-	-	No baseline change approved since sign-off	-	-	-

8. Attestation

We confirm that the baseline set out in section 3 has been derived from the source documents named, that all normalisation adjustments are disclosed in section 4, that the limitations in section 6 are complete to our knowledge, and that the baseline is locked with effect from 2 September 2016.

M. Haddad
Value Realisation Controller

R. Whitfield
Workstream Lead, Finance

A. Vasquez
VCIO Programme Director

Signature and date

Signature and date

Signature and date

Sources for the case anchoring

1. EMC Corp, Form 8-K Exhibit 99.1, filed 7 September 2016 (SEC EDGAR)

2. Deloitte Global, 'Dell, EMC, and Deloitte create the next tech icon: a technology M&A; case study', [deloitte.com](https://www.deloitte.com)

3. Dell Technologies press release, 7 September 2016

Synthetic document. The case anchoring, meaning the entities, the transaction value, the close date, the governance structure and the workstream cut, follows publicly available sources listed at the end. All operational names, figures, risks, decisions and synergy values are invented, internally consistent, and are not a representation of what any party actually did.